



Bill Number: S.B. 1497

Werner Floor Amendment

Reference to: EDUCATION S/E Committee Amendment

Amendment drafted by: Mason Holler

FLOOR AMENDMENT EXPLANATION

1. Requires a school district governing board (governing board) that establishes a self-insurance program as outlined to obtain quotes for coverage and services as prescribed at least once during every four-year period, rather than every three-year period.
2. Specifies that the requirement to obtain quotes for insurance coverage every four years applies to governing boards that establish a self-insurance program to:
 - a) purchase disability or health benefit plans insurance;
 - b) pool the retention of risk of losses for health or accident claims; or
 - c) provide health and medical services.
3. Exempts, from the self-insurance procurement requirements relating to obtaining quotes for coverage, a school district that participates in a self-insurance program that:
 - a) is provided by a nonprofit corporation health care pool as specified;
 - b) has two or more network options for school district members; and
 - c) has an administrator that is a nonprofit corporation as specified.
4. Specifies that the detailed report that outlined individuals must provide to a school district when obtaining quotes for coverage must include enrollees whose total claims paid exceed \$50,000 for any of the four calendar years, rather than three calendar years, that immediately precede the current year.
5. Defines *authorized service providers* to mean:
 - a) two or more service providers that are available through the pool, trustee or board of trustees that administers the school district's self-insurance program;
 - b) two or more qualified insurers that provide proposals directly to the governing board; or
 - c) an insurance producer who is licensed by the Department of Insurance and Financial Institutions and obtains proposals from two or more qualified insurers on behalf of the governing board.
6. Makes technical and conforming changes.

WERNER FLOOR AMENDMENT
SENATE AMENDMENTS TO S.B. 1497
(Reference to EDUCATION S/E Committee amendment)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

~~[GREEN STRIKEOUT IN BRACKETS]~~ indicates new text removed from statute or previously enacted session law.

~~[Green strikeout in brackets]~~ indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

~~<<Green strikeout in carets>>~~ indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Strike everything after the enacting clause and insert:

3 "Section 1. Section 15-382, Arizona Revised Statutes, is amended to
4 read:

5 15-382. Authorization to self-insure; pooling agreements;
6 joint agreements; trustees; liability coverage and
7 pool requirements; annual required coverage
8 information; exemption; definition

9 A. ~~The~~ A school district governing board may determine that
10 self-insurance is necessary or desirable in the best interest of the
11 district and may provide for a self-insurance program or programs for the
12 district, including risk management consultation. Any risk management
13 consultant or insurance administrator employed by a school district
14 governing board must be licensed under title 20, chapter 2, article 3 or
15 9, and ~~such~~ THE license shall be verified by the school district governing
16 board ~~prior to~~ BEFORE employment.

17 B. The school district governing board may:

18 1. Enter into intergovernmental agreements or contracts with pools
19 operated pursuant to section 11-952.01 for participation in SELF-INSURANCE
20 programs offered by public agency pools. In addition to the joint
21 purchasing of insurance or reinsurance or the pooling of the retention of
22 risks for property, fidelity and liability losses, these SELF-INSURANCE
23 programs may include the joint purchasing of health benefits plan, life or
24 disability insurance, prepaid legal insurance or the pooling of the
25 retention of their risks of losses for health, accident, life or

1 disability claims or the provision of the health and medical services
2 enumerated in section 36-2907.

3 2. Separately contract with a trustee or board of trustees that
4 provides a common self-insurance program or SELF-INSURANCE programs with
5 pooled funds and risks to more than one district, a community college
6 district formed pursuant to chapter 12 of this title or an association of
7 school districts within this state that is funded by member school
8 districts pursuant to section 15-342, paragraph 8 or a pool created for
9 and operated solely for charter schools pursuant to section 11-952.01.
10 Beginning January 1, 2010, a trustee, board of trustees or pool that
11 contracts with a school district governing board or charter school
12 pursuant to this paragraph shall comply with title 38, chapter 3, article
13 3.1, title 39, chapter 1 and section 11-952.01, subsections M and N.

14 3. Enter into cooperative procurement agreements with other
15 districts pursuant to rules adopted pursuant to section 15-213 to
16 participate in programs for either self-insurance or the joint purchase of
17 insurance.

18 4. Separately establish a self-insurance program solely for its
19 district.

20 C. If the school district governing board, either alone or in
21 combination with another school district or an association of school
22 districts in this state that is funded by member school districts pursuant
23 to section 15-342, paragraph 8, establishes a self-insurance program, the
24 governing board or an association of school districts shall place all
25 funds into a trust to be used for payment of uninsured losses, claims,
26 defense costs, costs of training designed to reduce losses and claims, the
27 cost of related employee benefits including wellness programs, life,
28 disability and other fully and partially insured group insurance plans,
29 programs that allow for participation in a cafeteria plan that meets the
30 requirements of the United States internal revenue code of 1986, costs of
31 administration and other related expenses. If a member of the governing
32 board or employee of the school district is acting as a trustee, the trust
33 shall be administered by at least five joint trustees, of whom ~~no~~ NOT more
34 than one may be a member of the governing board and ~~no~~ NOT more than one
35 may be an employee of the school district. Funds budgeted for
36 self-insurance programs ~~shall be~~ ARE subject to district budgetary
37 requirements, including ~~but not limited to~~ the requirements that the funds
38 be budgeted within the maintenance and operation section and the budget
39 limitation on increases as prescribed in section 15-905. The funds, ~~upon~~
40 ON being placed in the trust, ~~shall~~ DO not lapse at the close of the

1 fiscal year, except that any cash balance remaining after termination of
2 the SELF-INSURANCE program and settlement of all outstanding claims shall
3 be used for reduction of school district taxes for the budget year. The
4 trustees of the trust must be bonded, a stop-loss provision must be
5 incorporated in the trust agreement, and an annual audit must be performed
6 by a certified public accountant and a copy of the report kept on file in
7 the district office for a period of ~~not less than~~ AT LEAST five years.

8 D. If the self-insurance is for liability losses, excess liability
9 coverage or reinsurance must be obtained as follows:

10 1. For a single school district, the coverage may include an annual
11 aggregate limit of ~~no~~ NOT more than ~~three million dollars~~ \$3,000,000 and
12 the maximum retention per occurrence shall be one-half of one ~~per cent~~
13 PERCENT of the district's maintenance and operation budget.

14 2. For a pool, the coverage may include an annual aggregate limit
15 set by the pool and the maximum retention per occurrence shall not exceed
16 one-half of one ~~per cent~~ PERCENT of the combined maintenance and operation
17 budgets of the districts in the pool.

18 E. IF A SCHOOL DISTRICT GOVERNING BOARD ESTABLISHES A
19 SELF-INSURANCE PROGRAM PURSUANT TO THIS SECTION [TO PURCHASE DISABILITY OR
20 HEALTH BENEFIT PLANS INSURANCE, POOL THE RETENTION OF RISKS OF LOSSES FOR
21 HEALTH OR ACCIDENT CLAIMS OR PROVIDE HEALTH AND MEDICAL SERVICES] AND THE
22 SCHOOL DISTRICT EMPLOYS AT LEAST THREE HUNDRED EMPLOYEES, THE SCHOOL
23 DISTRICT GOVERNING BOARD SHALL OBTAIN QUOTES FOR COVERAGE AND SERVICES
24 FROM AUTHORIZED SERVICE PROVIDERS AT LEAST ONCE DURING EVERY ~~[THREE-YEAR]~~
25 [FOUR-YEAR] PERIOD TO DETERMINE WHETHER COMPARABLE COVERAGE AND SERVICES
26 ARE AVAILABLE AT A MORE FAVORABLE PRICE. A SCHOOL DISTRICT GOVERNING
27 BOARD MAY NOT RENEW COVERAGE OR SERVICES FROM ANY PERSON THAT FAILS TO
28 PROVIDE TIMELY, ACCURATE AND COMPLETE INFORMATION AS REQUIRED BY
29 SUBSECTION F OF THIS SECTION. [FOR THE PURPOSES OF THIS SUBSECTION,
30 "AUTHORIZED SERVICE PROVIDERS" MEANS ANY OF THE FOLLOWING:

31 1. TWO OR MORE SERVICE PROVIDERS THAT ARE AVAILABLE THROUGH THE
32 POOL, TRUSTEE OR BOARD OF TRUSTEES THAT ADMINISTERS THE SCHOOL DISTRICT'S
33 SELF-INSURANCE PROGRAM.

34 2. TWO OR MORE QUALIFIED INSURERS THAT PROVIDE PROPOSALS DIRECTLY
35 TO THE SCHOOL DISTRICT GOVERNING BOARD.

36 3. AN INSURANCE PRODUCER WHO IS LICENSED PURSUANT TO TITLE 20,
37 CHAPTER 2, ARTICLE 3 AND WHO OBTAINS PROPOSALS FROM TWO OR MORE QUALIFIED
38 INSURERS ON BEHALF OF THE SCHOOL DISTRICT GOVERNING BOARD.]

39 F. AT LEAST SIXTY DAYS BEFORE THE END OF THE CURRENT BENEFIT
40 PROGRAM YEAR, EACH TRUST, INSURER, THIRD-PARTY ADMINISTRATOR, PHARMACY

1 BENEFIT MANAGER OR OTHER PERSON WHO SUPPORTS THE SCHOOL DISTRICT'S
2 SELF-INSURANCE PROGRAM SHALL PROVIDE THE FOLLOWING INFORMATION TO THE
3 SCHOOL DISTRICT IN AN ELECTRONIC, MACHINE-READABLE FORMAT:

4 1. MONTHLY ENROLLMENT COUNTS BY EMPLOYEE-ONLY AND DEPENDENT TIERS
5 FOR EACH PLAN OPTION OFFERED TO THE SCHOOL DISTRICT FOR THE TWO CALENDAR
6 YEARS THAT IMMEDIATELY PRECEDE THE CURRENT YEAR.

7 2. MONTHLY TOTAL CLAIMS PAID, DISAGGREGATED BY MEDICAL CLAIMS AND
8 PRESCRIPTION DRUG CLAIMS, FOR THE TWO CALENDAR YEARS THAT IMMEDIATELY
9 PRECEDE THE CURRENT YEAR.

10 3. A DETAILED REPORT ON ~~[INDIVIDUALS]~~ [ENROLLEES] WHOSE TOTAL
11 CLAIMS PAID EXCEEDS \$50,000 FOR ANY OF THE ~~[THREE]~~ [FOUR] CALENDAR YEARS
12 THAT IMMEDIATELY PRECEDE THE CURRENT YEAR AND ~~[INDIVIDUALS]~~ [ENROLLEES]
13 WHOSE TOTAL CLAIMS PAID IS PROJECTED TO EXCEED \$50,000 IN THE CURRENT
14 YEAR. THE REPORT REQUIRED BY THIS PARAGRAPH MUST INCLUDE ONLY DE-
15 IDENTIFIED DATA, COMPLY WITH THE HEALTH INSURANCE PORTABILITY AND
16 ACCOUNTABILITY ACT OF 1996 (P.L. 104-191; 110 STAT. 1936) AND INCLUDE THE
17 FOLLOWING:

18 (a) THE TOTAL CLAIMS PAID FOR EACH ~~[INDIVIDUAL]~~ [ENROLLEE].

19 (b) EACH ~~[INDIVIDUAL'S]~~ [ENROLLEE'S] DIAGNOSIS OR A DESCRIPTION OF
20 EACH ~~[INDIVIDUAL'S]~~ [ENROLLEE'S] MEDICAL CONDITION OR CONDITIONS.

21 (c) A STATEMENT INDICATING WHETHER EACH CLAIM IS:

22 (i) COMPLETED WITH NO FURTHER HEALTH CARE SERVICES EXPECTED.

23 (ii) ONGOING WITH ADDITIONAL HEALTH CARE SERVICES EXPECTED OR
24 REQUIRED TO ADDRESS THE ~~[INDIVIDUAL'S]~~ [ENROLLEE'S] DIAGNOSIS, MEDICAL
25 CONDITION OR MEDICAL CONDITIONS.

26 4. DETAILED PRESCRIPTION DRUG DATA FOR THE IMMEDIATELY PRECEDING
27 TWELVE-MONTH PERIOD FOR ALL ENROLLEES, INCLUDING THE FOLLOWING LINE-LEVEL
28 DETAILS:

29 (a) THE NATIONAL DRUG CODE.

30 (b) THE DATE EACH PRESCRIPTION WAS FILLED.

31 (c) THE DRUG NAME.

32 (d) THE TOTAL DAYS' SUPPLY OF THE DRUG.

33 (e) THE METRIC QUANTITY THAT IS DISPENSED.

34 (f) THE INGREDIENT COST.

35 (g) THE DISPENSING FEE.

36 (h) THE PHARMACY PROVIDER NUMBER.

37 (i) THE AMOUNT PAID BY THE SCHOOL DISTRICT, IF ANY.

38 (j) THE AMOUNT PAID BY THE ENROLLEE, IF ANY.

39 (k) THE TOTAL AMOUNT OF REBATES RECEIVED, INCLUDING REBATES BY THE
40 DRUG MANUFACTURER AND THE METHOD OF ALLOCATION.

1 (1) THE AMOUNT OF PHARMACY BENEFIT MANAGER ADMINISTRATIVE FEES
2 PAID, IF ANY.

3 (m) ANY OTHER FEES CHARGED TO THE SCHOOL DISTRICT, INCLUDING
4 PER-CLAIM FEES, NETWORK ACCESS FEES, DATA OR CLINICAL PROGRAM FEES,
5 SPREAD-PRICING COMPONENTS AND ALL SOURCES OF PHARMACY BENEFIT MANAGER
6 COMPENSATION CHARGED TO THE SCHOOL DISTRICT.

7 (n) WHETHER PRICING IS SET ON A PASS-THROUGH OR SPREAD BASIS.

8 5. COMPLETE DOCUMENTATION FOR EACH BENEFIT PLAN CURRENTLY AVAILABLE
9 TO THE SCHOOL DISTRICT'S EMPLOYEES, INCLUDING THE FOLLOWING FOR EACH PLAN:

10 (a) SUMMARY BENEFITS AND COVERAGE.

11 (b) FULL PLAN DOCUMENTS OR BENEFIT BOOKLETS.

12 (c) PRESCRIPTION DRUG FORMULARIES.

13 (d) COST-SHARING STRUCTURES, DEDUCTIBLES AND OUT-OF-POCKET
14 MAXIMUMS.

15 6. A REPORT OF COMPREHENSIVE ELIGIBILITY CENSUS DATA FOR ALL
16 EMPLOYEES AND FOR ALL DEPENDENTS WHO PARTICIPATE IN THE SCHOOL DISTRICT'S
17 ~~[INSURANCE]~~ [SELF-INSURANCE] PROGRAM THAT IS UPDATED NOT MORE THAN SIXTY
18 DAYS BEFORE THE REPORT IS SUBMITTED. THE REPORT REQUIRED BY THIS
19 PARAGRAPH MUST INCLUDE ONLY DE-IDENTIFIED DATA, COMPLY WITH THE HEALTH
20 INSURANCE PORTABILITY AND ACCOUNTABILITY ACT OF 1996 (P.L. 104-191; 110
21 STAT. 1936) AND INCLUDE~~[. FOR EACH EMPLOYEE AND DEPENDENT.]~~ ALL OF THE
22 FOLLOWING ~~[FOR EACH PERSON]~~:

23 (a) DATE OF BIRTH.

24 (b) GENDER.

25 (c) ZIP CODE OF RESIDENCE.

26 (d) COVERAGE TIER.

27 (e) SELECTED PLAN.

28 [G. SUBSECTIONS E AND F OF THIS SECTION DO NOT APPLY IF THE SCHOOL
29 DISTRICT PARTICIPATES IN A SELF-INSURANCE PROGRAM THAT MEETS ALL OF THE
30 FOLLOWING:

31 1. IS PROVIDED BY A NONPROFIT CORPORATION HEALTH CARE POOL THAT IS
32 FORMED PURSUANT TO SECTION 11-952.01.

33 2. HAS TWO OR MORE NETWORK OPTIONS FOR SCHOOL DISTRICT MEMBERS.

34 3. HAS AN ADMINISTRATOR THAT IS A NONPROFIT CORPORATION THAT IS
35 FORMED PURSUANT TO SECTION 11-952.]

36 ~~F. [G.] [H.]~~ FOR THE PURPOSES OF THIS SECTION, "self-insurance
37 program": ~~as used in this section~~

38 1. Means programs established and wholly or partially funded by the
39 school district governing board. ~~Self-insurance programs shall~~

Senate Amendments to S.B. 1497

1 2. DOES not include a decision by the governing board not to carry
2 insurance ~~upon~~ ON a particular risk or risks."

3 Enroll and engross to conform

4 Amend title to conform

CARINE WERNER

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